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E-Commerce / Student Entrepreneurship

From Side Hustle to Storefront

Closing the gap between Gen Z's entrepreneurial
ambition and realization

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Introduction

Every generation produces its own entrepreneurs. For Gen Z, entrepreneurship looks like reselling thrifted clothing on Depop, tutoring classmates for cash, freelancing on Fiverr, and building audiences on TikTok. The hustle is already there. What's missing is the bridge between what students already do and what they could build.

In a survey of 58 college students, **66% said they had never considered starting a business**. But within that same group, students reported tutoring, freelancing, reselling, and creating content for money. They're already entrepreneurs. They just don't call it that, and they certainly don't think Shopify or other similar platforms are for them. Only 53% associated Shopify with opening a store, placing it behind Etsy and Instagram in student awareness. Recognized, but not understood.

**The hustle is there, they just don't
call it entrepreneurship**

This white paper presents research conducted with college students to understand where that disconnect lives and what businesses can do about it. Through surveys, user interviews, and prototype testing, we identified a clear pattern: students lack a starting point that feels built for people like them.

Our recommendation: **A student-facing showcase of real, student-built businesses on Shopify, paired with cloneable templates, founder stories, and a free entry point**, that meets students where they already are and shows them where they could go.

Background

Shopify, founded in 2006, is one of the most dominant e-commerce platforms in the United States:

- ✓ Powers over 10% of all U.S. commerce
- ✓ Generated \$11.6 billion in revenue in 2025 and processed over \$378 billion in gross merchandise volume
- ✓ Has experienced 27% compound annual revenue growth over the past three years

But, there is a gap in these numbers:

- ✗ Although Gen Z has some of the highest shopify brand awareness at 80%, only 7.3% of Shopify's merchant base is in the 18–24 age range

Although Gen Z has high brand awareness, most associate Shopify only with Shop, and not with starting a business. Additionally, the current Shopify onboarding experience takes an average of 35 days from signup to first sale. For a college student with a full course load, limited capital, and no prior business experience, 35 days can feel like a monumental time commitment. And—as Shopify's own data shows—merchants who don't make an early sale are the ones most likely to churn.

Meanwhile, students are already selling. They resell on Depop, tutor through Venmo, freelance on Fiverr, and sell digital products through Gumroad. The competitors capturing that behavior are marketplaces and social platforms—they win with students not because they are better products, but because they are more familiar.

That identity barrier is the problem our team set out to address.

The Opportunity: Gen Z's Ambition Gap in Entrepreneurship

Generation Z demonstrates unprecedented interest in entrepreneurship. Recent research indicates that over two-thirds of Gen Z workers express a desire to start their own business (American Express, 2025), and emerging data suggests that Gen Z is now surpassing older generations in new business formation (Gusto, 2026). This signals a **meaningful cultural shift toward independence, creativity, and self-driven income generation.**

However, **this rise in entrepreneurial ambition has not translated proportionally into sustained business creation or success.**

A key driver of this gap is the way entrepreneurship is presented within Gen Z's primary media environments. The widespread popularity of "side hustle" culture on social platforms has normalized entrepreneurship as an identity, yet they prioritize outcomes over processes. **Instead of offering actionable guidance, dominant content emphasizes simplified narratives such as rapid income generation or passive revenue streams.** As a result, Gen Z is exposed to entrepreneurship as an appealing concept, but not as a structured, learnable process. This creates three primary distortions:

- **Overestimation of accessibility:** Entrepreneurship appears easier and more immediate than it is, leading to unrealistic expectations.
- **Reduced self-efficacy:** Students struggle to see themselves as capable founders due to a lack of transparent, relatable journeys.
- **Passive consumption patterns:** Individuals engage with entrepreneurial content as spectators rather than participants.

This dynamic reinforces a cycle in which users continuously consume motivational content without transitioning into meaningful action.

This disconnect from “successful founders” also creates another problem. Despite expressing interest in the idea, many students do not perceive themselves as viable participants in entrepreneurship; **they consistently shy away from the title of “entrepreneur”**. Therefore, **the primary barrier is not access to tools, but belief in one’s ability to use them successfully**.

Yet another problem in Shopify’s ambiguous position within Gen Z’s perception of entrepreneurship tools. **While the brand is widely recognized, its functionality is often misunderstood**. Students commonly associate Shopify with advanced users, dropshipping trends, or influencer-driven businesses. It is rarely perceived as an accessible entry point for beginners or as a learning environment for first-time entrepreneurs. **This disconnect results in passive brand awareness rather than active engagement**.

The current entrepreneurial ecosystem lacks the presence of observable, relatable pathways to action. Research in social learning theory (Bandura) demonstrates that **individuals are more likely to adopt behaviors when they can observe similar others successfully performing those behaviors**.

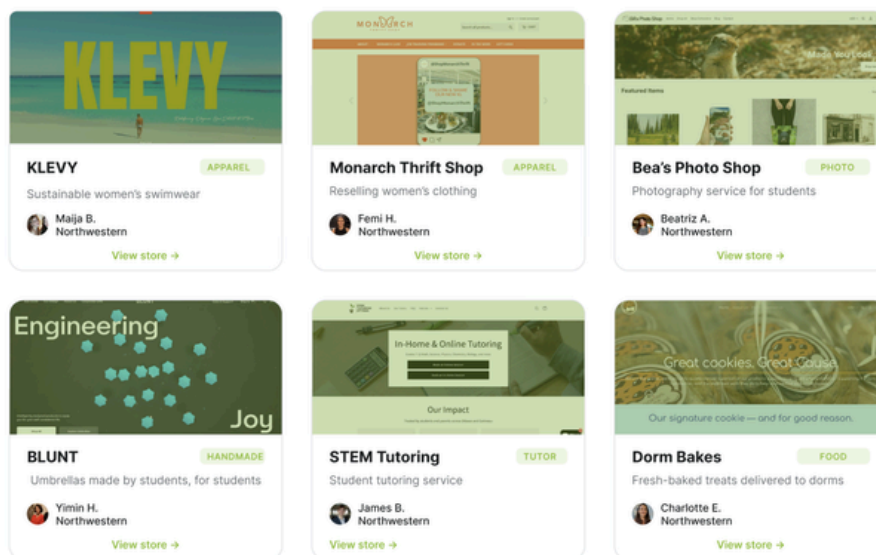
Currently, entrepreneurship content fails to provide relatable role models at the peer level, transparent processes that illustrate how businesses are built, and replicable frameworks that reduce ambiguity in execution. Without these elements, entrepreneurship remains abstract and inaccessible, even in environments where interest is high.

Key Insight:

**Gen Z does not lack entrepreneurial ambition.
They lack clear, believable pathways that
translate intention into action.**

The Solution: A Student Store Showcase

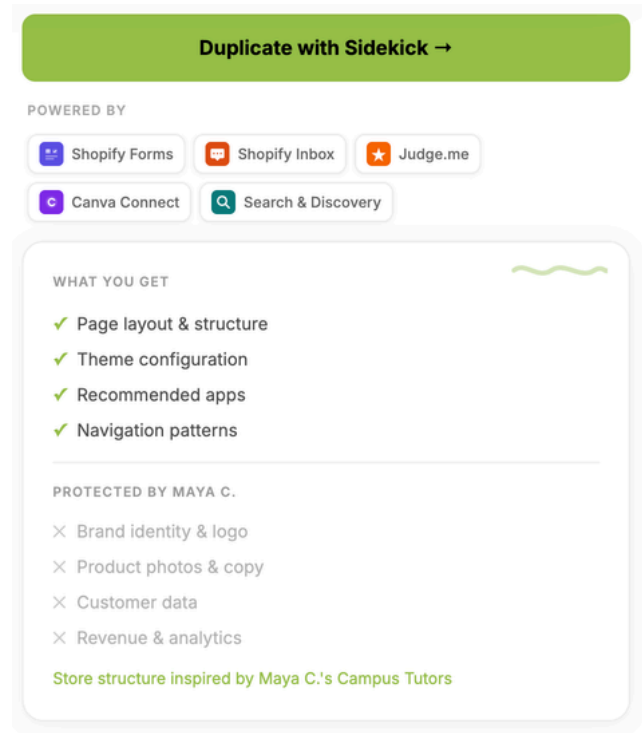
To bridge the gap between ambition and execution, **entrepreneurship must be reframed as something tangible, visible, and achievable**. The proposed Student Store Showcase accomplishes this by transforming abstract concepts into real, observable examples.



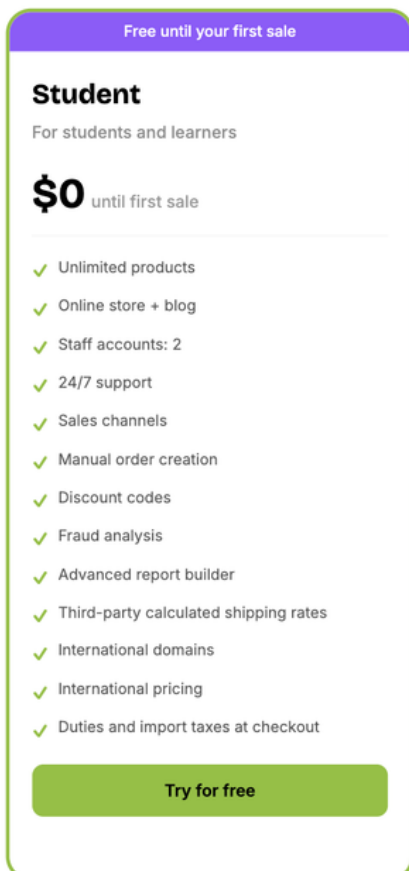
This solution introduces a curated environment where students can explore real businesses built by their peers. Rather than learning through theoretical content or generalized advice, users engage directly with real-world implementations. By showcasing student-run stores across categories such as apparel, tutoring, creative services, and digital products, **the platform enables users to understand what student businesses look like in practice**: everything from how products are positioned and marketed to how storefronts are structured and organized.

This visibility **reduces perceived complexity and increases confidence in the feasibility** of starting a business.

One of the most significant barriers to entrepreneurship is the challenge of starting from a blank slate. The Student Store Showcase addresses this issue through a **“Duplicate and Customize”** functionality. This feature allows users to replicate the structural framework of existing stores, including layout, navigation, and recommended integrations and apps. **Instead of building from scratch, students can begin with a proven foundation and adapt it to their own ideas.**

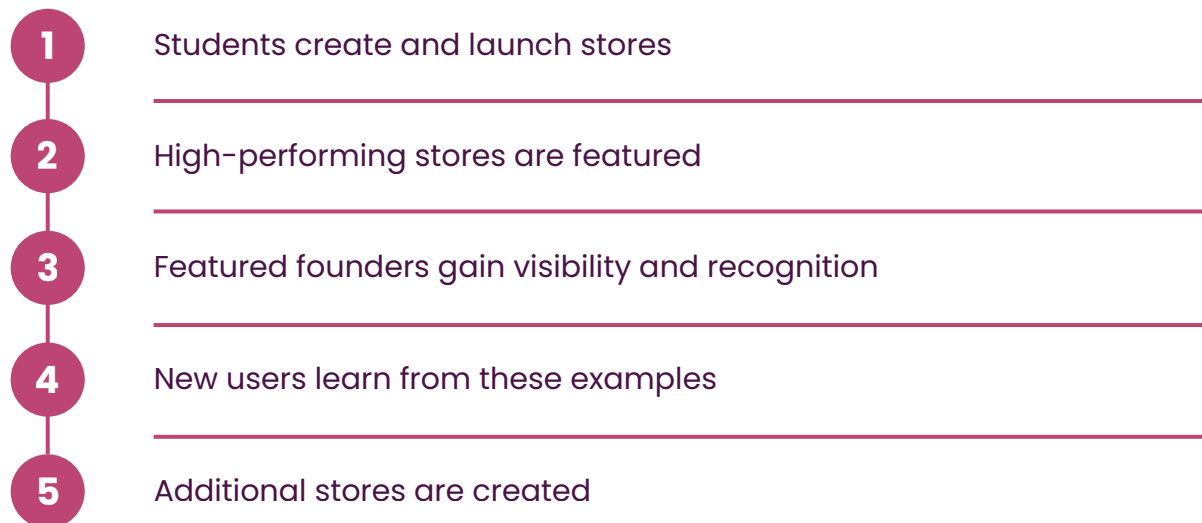


This approach shifts the user experience from creation to iteration, thereby increasing the likelihood of sustained engagement. Like similar models in adjacent platforms such as Canva and Notion, **the solution reduces initial cognitive load, it enables faster onboarding.**



Additionally, financial risk is a critical concern for student entrepreneurs. Traditional pricing models may discourage experimentation by requiring upfront commitment before value is realized. **The proposed “Free Until Your First Sale” pricing model directly addresses this barrier by aligning cost with success.** Students can explore, build, and test their businesses without immediate financial pressure, transitioning to paid plans only after generating revenue. This model reflects key characteristics of Gen Z behavior, including a preference for low-risk exploration and trial-based engagement. By minimizing perceived loss, it increases willingness to participate and experiment.

The Student Store Showcase is designed not only as a feature, but as a dynamic ecosystem that evolves through user participation. It establishes a **continuous growth loop**:



This cycle **transforms users into contributors and content into a core product component**. It also **reinforces community-driven learning**, where knowledge is generated and shared organically. Such ecosystems are particularly effective for Gen Z, who value authenticity, peer validation, and collaborative growth.

For a solution to succeed, it must align with existing behaviors rather than attempt to reshape them entirely. **The Student Store Showcase integrates into Gen Z's natural discovery channels through multiple entry points:**

Campus Ambassador programs:

Peer-led engagement builds trust and fosters localized adoption.

Influencer and User-Generated Content links:

Create direct pathways from social content to platform engagement to reduce friction.

Platform-Level visibility:

Integration into Shopify's main interface adds credibility and accessibility.

By embedding itself within familiar environments, the solution ensures both discoverability and relevance.

The Student Store Showcase redefines how entrepreneurship is introduced to Gen Z. **Rather than positioning it as a distant or complex endeavor, it reframes it as something visible, relatable, and achievable.** By combining real-world examples, reduced friction, financial accessibility, and community-driven growth, the **solution bridges the gap between intention and execution.**

Key Takeaways

What Works for Student Entrepreneurs

67% of the students we spoke to had never considered starting a business, yet within that same group they were tutoring, reselling on Depop, freelancing, and creating content. **The students are already business minded—they just don't call themselves entrepreneurs.**

What works for this demographic isn't more features or better onboarding copy. It's meeting them where their actual barriers are: not knowing where to start, not wanting to waste time, and not seeing themselves as the kind of person who does this. **Students need a low-stakes entry point, a structured path forward, and evidence that someone like them already made it work. Our Shopify for Students model didn't teach them to be entrepreneurs, it just made them feel like they already were one.**

Proof Converts Better Than Promises

Our insight that self-perception was the problem shaped the Student Store Gallery: **a browsable feed of real stores built by real students using shopify.** Students could see other students' monthly revenues, founder stories, and advice.

When we tested it, **78% of participants found the content believable and trustworthy**, and **66% responded positively to founder stories.** The reactions weren't about the visuals, but about the fact that they could identify with it:

"If it works for them, it works for you."

"It makes me want to create an account."

The industry default is to lead with capability. For this audience, leading with people is what actually converts, because the question students are really asking isn't "what does this platform do?" It's "is this platform for someone like me?"

The Free Entry is the Most Powerful Hook

Students want to make money, but they don't have enough time or capital to get it rolling. 50% of students surveyed named managing time alongside school as their biggest barrier. Then, when the platform asks for a financial commitment before they've seen a single result, most of them walk away.

Our design response is “Free until your first sale”. Tying the payment to the first sale, not a countdown, means the financial commitment only enters the picture once a student has proof the platform works for them. **45% of participants cited it as the most compelling element of the entire concept.**

Design for Discoverability

Across all user testing sessions, the most consistent problem with our first prototype was navigation—students liked what they saw when they found it, but the issue was getting there.

This is significant because **when students did find the content, they responded positively.** The value proposition was landing; the issue was that the information architecture is not surfacing it effectively. Real audiences will scroll briefly, and simply leave if the core message or calls to action are unclear.

Our V2 prototype addressed these gaps directly: a sticky pricing badge (“start for free”) visible throughout the page, founder stories embedded in gallery cards rather than hidden behind unclear labels, filter pills placed above the store grid, and Shopify branding added to establish trust. Each change traces to a specific moment where a participant got lost. The takeaway for Shopify is that the content strategy is sound, but the discoverability layer needs to match it.

Clone this Store: The Feature that Sells Itself

Of every feature we tested, **the duplicate functionality generated the strongest response**. The premise is straightforward: find a student store, click duplicate, and Sidekick generates a copy of the layout, theme configuration, and recommended app stack. **The student starts from a proven structure rather than a blank page.**

This directly addresses the most common barrier in our research. **33% of survey respondents said their biggest obstacle was coming up with a good idea.** The clone feature reframes that problem entirely: instead of generating an idea from nothing, students see what others have built and begin from there. One participant captured the logic precisely:

“You can take what works, what's proven to work, and use it in your case. If it works for them, it works for you.”

The duplication is designed with intellectual property protection built in. It transfers structure only; not branding, product photography, copy, or customer data. Additionally, every cloned store includes attribution to the original founder. This means **getting cloned becomes a form of credibility for the original creator, not a risk**. The same model has proven effective across platforms like Figma Community and Framer, where shared templates drive adoption without compromising the original creator.

Our prototype validated the concept through the duplicate entry point and store detail view, but did not extend into the full AI-assisted duplication flow. Simulating functional store generation with realistic data exceeded the scope of a ten-week course. The user testing responses suggest the concept is strong enough to warrant dedicated prototyping of the technical execution as a next phase.

For Shopify, the strategic value is that the clone feature reduces time to first store from an average of 35 days to a single session, converts passive browsing into active building, and deploys AI where students actually want it—not to replace their judgment, but to eliminate the blank page.

Conclusion

Gen Z's struggle with Shopify is that **they don't have a set launch point.**

The students we spoke to are already doing the work. Reselling clothes, tutoring classmates, freelancing on the side. The hustle is there. What's missing is a platform that not only meets them where they—it was built just for them.

So what can Shopify actually do with this?

1

First, **build the Student Showcase.** Our prototype testing showed that 78% of students found student-built stores believable and trustworthy, and 66% responded positively to founder stories specifically. Examples from real students will close the gap between awareness and action.

2

Second, **lead with free.** Of every feature and value proposition we tested, "free until your first sale" was the single most compelling element for 45% of participants. It needs to be the first thing a student sees, not something they find after scrolling.

3

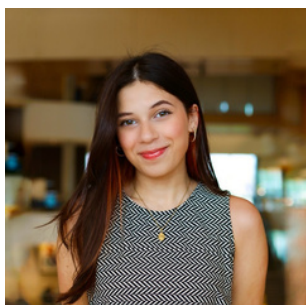
Third, **fix discoverability.** 44% of users never found pricing without being prompted. The content is good, but students just can't find it. Information architecture is as important as the message itself.

4

Fourth, **make the clone feature impossible to miss.** Students who got it were immediately excited, while the others just scrolled past.

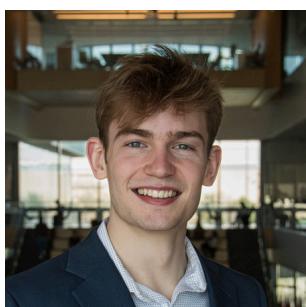
Shopify already has 80% brand awareness among Gen Z, but only 7.3% of its merchant base is between 18 and 24. That is just how much room there is left to grow. **The students are already there. The platform just needs to make it obvious that the door is open.**

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